

Reducing Restaurant Churn by Fixing Decision-Time Blindness

Executive Summary

Restaurant **churn** persists despite improving platform margins. Media and public discourse often frame this as a **commission** or **fairness** issue. That framing is incomplete. The core issue is **decision blindness when restaurants opt into ads and discounts**. **Outcomes** are discovered weeks or months later, making losses and churn rational.

Direction: improve decision quality before commitment.

Why it matters to Swiggy: trust, durable monetization, healthier supply.



Chinmay Agrawal
Founders' Office Applicant
Mesa School of Business



Restaurant churn is driven by decision opacity, not commissions

The Observed Patterns

- **The 'Months Later' Lag:** Dissatisfaction rarely happens at onboarding. It emerges months later, often after willing participation in growth programs.
- **The Opt-In Paradox:** Restaurants repeatedly opt into ads and discount programs before disengaging, proving they are seeking growth, not just lower fees.
- **The Confusion:** Churn is frequently preceded by confusion regarding net settlements rather than immediate resistance to fee structures.

Why it matters to Swiggy

- Bad public narratives - commission focused.
- Partners resorting inflating pricing
- Declining willingness to experiment with ads
- Erosion of trust in platform tools.

Signals from the ground (Patterns, not outrage)



Source 1: 10+ Reddit threads featuring detailed payout breakdowns and peer discussions.



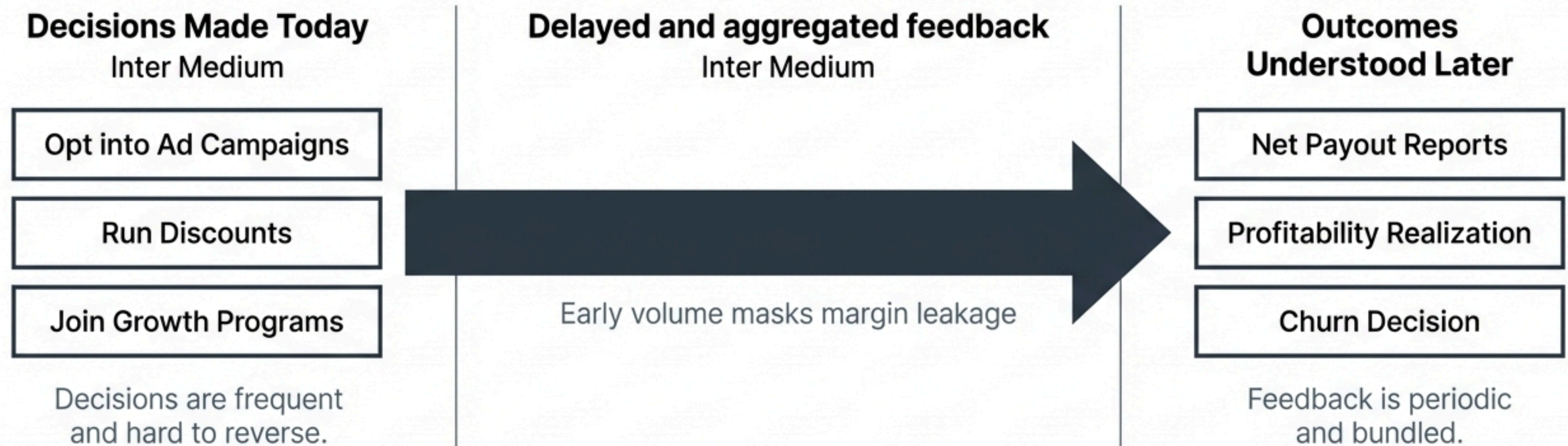
Source 2: Direct conversations with restaurant owners active on the platform.



Source 3: Publicly shared settlement screenshots showing the gap between expected and actual net payout.

Bottom Line: Churn is a predictable outcome of how decisions and feedback are currently structured.

Restaurants decide today, but understand outcomes much later



This structural time gap explains “months later” frustration.

This leads to partners opting out of ad-sales and subsequently getting churned.

Current tools explain what happened, not what will happen

What Swiggy Does Today (The Rational Approach)

- ✓ • Weekly or monthly payout reports
- ✓ • Dashboards for fees and ads
- ✓ • Sales-led nudges into growth levers
- ✓ • Opt-in growth programs

These tools are rational and well-intentioned.

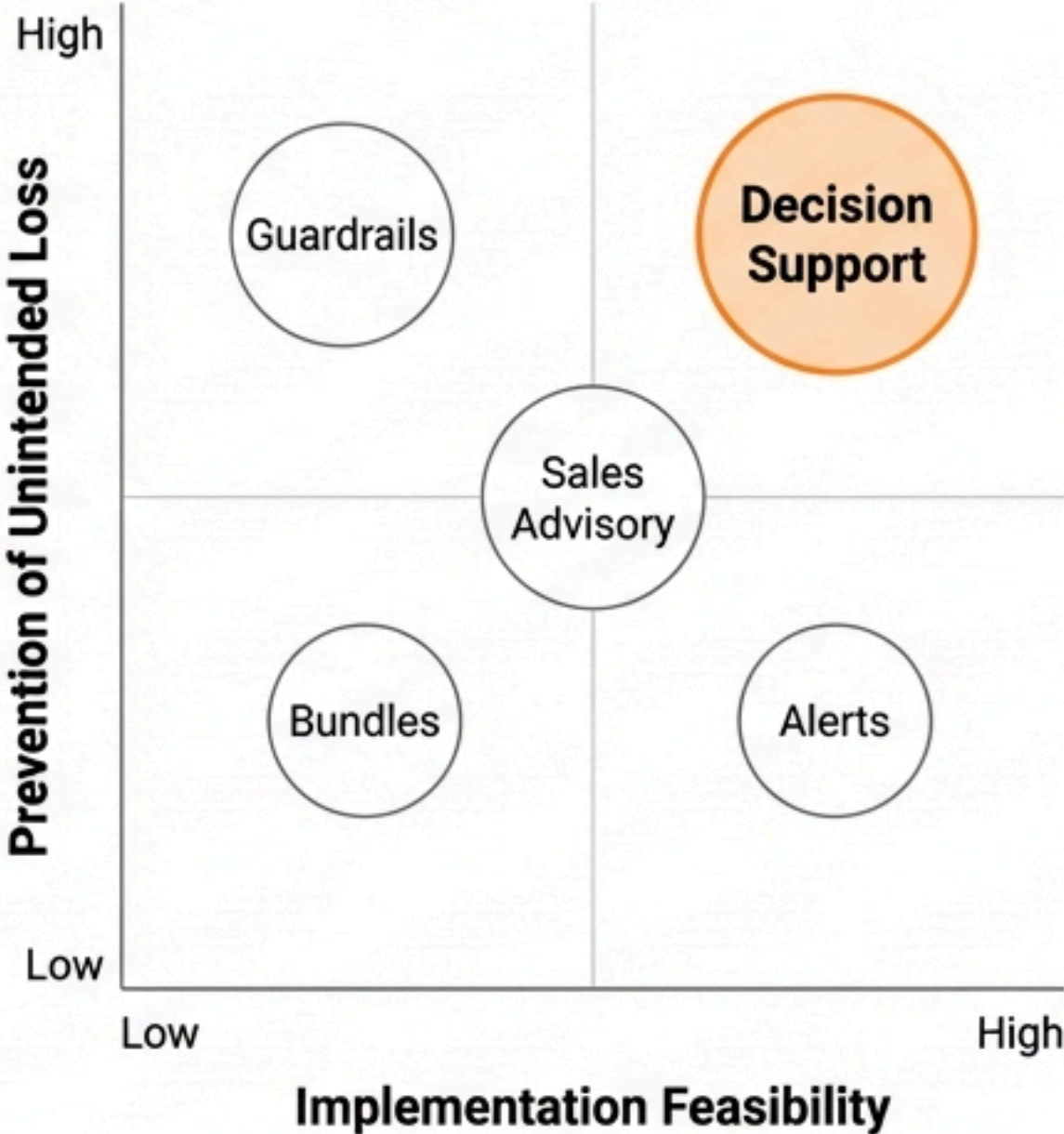
The Strategic Gap

- **The Gap:** These tools are **post-hoc**. There is a **lack of decision-time clarity**.
- **The Consequence:** Risk is **discovered rather than priced in**.
- **The Perception:** This gap creates a **power imbalance** where partners feel **'bullied' by outcomes** they did not predict.

Most ways to protect restaurants act too late or break the marketplace

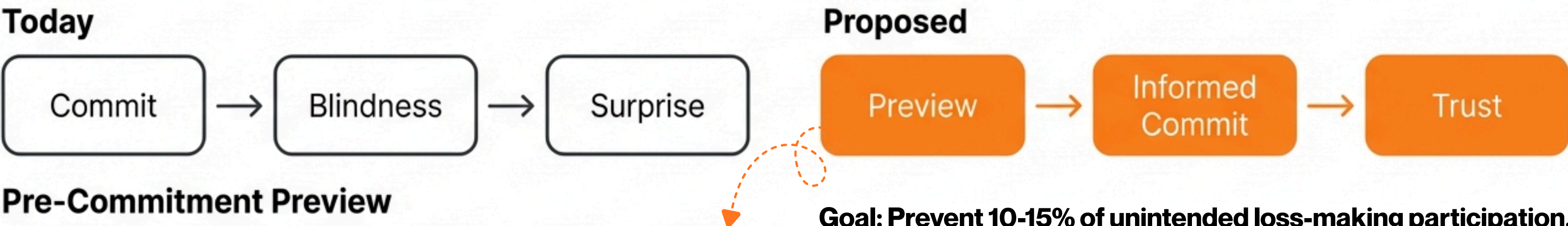
Solution	What it solves	Tradeoffs
Hard Guardrails (Caps/Limits)	Extreme losses	Constrains partner autonomy; penalizes high-risk strategies.
Post-Facto Alerts	Awareness duration	Reactive; the loss has already occurred.
Bundled Growth Plans	Cognitive load	Masks nuance; poor fit for differentiated restaurants.
Sales-Led Advisory	Trust	Does not scale; misalignment of incentives.
Decision-Support (Chosen)	Risk visibility before commitment	May reduce short-term 'bad' ad spend.

Decision-support is the only option that addresses the root cause without constraining partner autonomy or distorting marketplace dynamics.



Note: Pricing, commissions, and ad availability remain unchanged.

Improve decision quality before commitment, not after losses occur



Expected Outcome Range	
Est. Ad Spend:	₹2,000 - ₹3,000
Est. Order Uplift:	+15 - 25 Orders
Est. Net Payout: ₹12,000 - ₹14,000	
*Estimates are directional and based on historical patterns, not guarantees.	

Goal: Prevent 10-15% of unintended loss-making participation.

What this solves for the partners is that we'd be giving them estimations of incremental ad spend vs potential uplift in sales to get an "informed commit" rather than blindly increasing our decreasing ad budgets

Trade-off we're accepting - This will likely **reduce short term "bad" ad spend** driven by misunderstanding. In exchange, it buys **long term ad ROI, repeat adoption** and reduced defensive pricing.

North-Star Metrics

- **Unexpected Loss Rate**
(% of restaurants with negative net payout)
- **Churn within 60-90 days of first ad adoption**
- **Repeat Ad Adoption Rate**
(The truest signal of trust)